EXECUTIVE SUMMARY

1. Introduction

The Municipality of Ballesteros was created on December 18, 1911 thru Executive Order No. 79 and was inaugurated on January 01, 1912. It was named after Father Gregorio Ballesteros, a Filipino priest. The Municipality of Ballesteros is committed to serve its constituents with the mission "to attain peace, unity and progress through effective and efficient local government operation and administration that will redound to the sustained delivery of basic services to the people.

The audit covered the accounts and operations of the Municipality of Ballesteros for the year 2018 and was aimed at determining whether management presented fairly the financial statements of the municipality in adherence to the Philippine Public Sector Accounting Standards, whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, Compliance and Performance Audit were conducted to achieve these audit objectives.

2. Financial Highlights

The table below shows that the Municipality's Assets, Liabilities and Government Equity as of December 31, 2018, were P256,180,881.44, 65,043,917.39 and 191,136,964.05, with an increase/(decrease) of 15.84%, (0.46%) and 22.68%, respectively from last year's figures.

On the other hand, income earned and expenses incurred during the year amounted to P110,473,365.79 and 67,299,051.57, which increased/(decreased) by 6.87% and (17.75%) respectively from last year's figures.

Particulars	2018	2017	Increase(Decrease)	
			Amount	Percentage
Financial Position				
Assets	P256,180,881.44	P221,146,141.26	P35,034,740.18	15.84%
Liabilities	65,043,917.39	65,342,949.42	(299,032.03)	(0.46%)
Govt. Equity	191,136,964.05	155,803,191.84	35,333,772.21	22.68%
Financial Performance				
Income	P110,473,365.79	P103,374,155.22	P7,099,210.57	6.87%
Expense	67,299,051.57	81,823,550.82	(14,524,499.25)	(17.75%)
Appropriations, Allotments and Obligation				
Appropriations	P156,381,466.93	P131,719,864.05	P24,661,602.88	18.72%
Allotments	156,381,466.93	131,719,864.05	24,661,602.88	18.72%
Obligations	68,646,337.59	64,722,200.70	3,924,136.89	6.06%

Comparative Statement of Funds Transfer to and from NGA's, NGO's and PO's.

Particulars	2018	2017	Increase/(Decrease)
Fund Transferred to Other Agencies:			
Due from NGAs	1,159,164.81	657,164.81	502,000.00
Due from GOCCs	183,840.87	183,840.87	-
Due from LGUs	3,835,437.81	2,467,414.31	1,368,023.50
Due from NGOs/POs	862,285.06	858,634.00	3,651.06
Others	-	-	-
TOTAL	**6,040,728.55**	**4,167,053.99**	**1,873,674.56**
Fund Received from Other Agencies:			
Due to Other NGAs	15,456,978.83	20,375,665.61	(4,918,686.78)
Due to LGUs	2,186,166.35	2,255,204.13	(69,037.78)
Due to NGOs/POs	-	-	-
Others	-	-	-
TOTAL	**17,643,145.18**	**22,630,869.74**	**(4,987,724.56)**

3. Independent Auditor's Opinion on the Financial Statements

We rendered a qualified opinion on the fairness of the presentation of the financial statements of the Municipality of Ballesteros, Cagayan as at December 31, 2018.

4. Summary of Audit Observations and Recommendations

The findings and recommendations were discussed with LGU officials and employees. Management comments were incorporated in the report, where appropriate. The significant findings and recommendations are as follows:

1. **The accuracy, validity and existence of Property, Plant and Equipment (PPE) stated at P98,787,217.64 or 38.56% of the total assets as at December 31, 2018 could not be ascertained due to non-inventory taking, inadequacies of subsidiary records and accounting deficiencies which are not in conformity with existing rules and regulations prescribed under Paragraph 2, Section 124, Volume I of the Manual on the New Government Accounting System (MNGAS) for Local Government Units (LGUs), Section 13, Volume II of the MNGAS for LGUs, Section 58 of P. D. 1445 and COA Circular No. 2015-008 dated November 23, 2015.**

We recommended the following:

1. Direct the Inventory Committee to conduct a complete physical count annually as required, intensify efforts to reconcile the result of the physical

count with property and accounting records and recommended for the adjustment of any noted discrepancy in compliance with Paragraph 2 of Section 124, Volume I of MNGAS for LGUS.

2. Direct the concerned municipal officials to maintain and regularly update Property Cards, Property Ledger Cards, Subsidiary Ledgers and other Property records in conformity with Section 13, Volume II of the MNGAS for LGUs.

3. Enjoin the concerned departments to strictly follow and implement the provisions of COA Circular 2015-008 dated November 23, 2018 to fairly present the book value of the Road Networks account in the Financial Statements

2. Several fund transfers from national government agencies and local government units amounting to P15,342,822.31 and P2,005,150.89, respectively, for different projects and programs implemented by the Municipality were not returned to the source agencies, despite completion, or had remained unutilized contrary to Section 4 of COA Circular No. 94-013 dated December 13, 1994 and Section 3.1.2 of COA Circular No. 2012-01 dated June 14, 2012.

We recommended that Management instruct the Municipal Accountant to:

1. Cause the immediate full liquidation of outstanding fund transfers received from National Government Agencies and other Local Government Units and strictly adhere with the provisions of Section 4 of COA Circular No. 94-013 dated December 13, 1994 and Section 3.1.2 of COA Circular No. 2012-001 dated June 14, 2012; and

2. Collate records to ensure that all unspent balances of fund transfers for completed projects irrespective of source agency be returned.

3. Fast track the implementation of the fund transfers since the resources are readily available, and in order not to deprive the Municipality of the PPAs where the funds are intended for.

3. Due to the failure of the municipal officials to properly plan procurement activities, the Municipality failed to meet the timetable for the execution of the different programs/projects as per approved Annual Investment Program (AIP). The Municipality did not fully implement the projects identified under the 20% Development Fund for CY 2018 with a total appropriation of P22,230,491.34. Only P4,709,280.06 or 21.18% was utilized for development projects, contrary to Section 5 of DILG-DBM Joint Memorandum Circular No. 2011-1 dated April 13, 2011. Consequently, the desired development outcomes were not substantially attained.

We recommended that the Local Chief Executive (a) instruct the BAC members and the Municipal Engineer to properly plan and schedule all procurement activities pertaining to development projects to pave the way for their timely implementation and completion; and (b) ensure that the Municipal Planning and Development Officer and Municipal Engineer regularly monitor the status of project implementation for the immediate enjoyment of projects by intended beneficiaries.

4. **Basic documents and records prescribed for the acquisition, issuance and safekeeping of supplies and property, plant and equipment are not accomplished or not maintained by the General Services Officer, the Municipal Accountant and the end-user departments or units of the Municipality this caused the non-submission for some years of the required Annual Inventory Report, thereby reflecting neglect in properly safeguarding the assets of the Municipality primarily attributable to the head of the agency in accordance with Section 104 and 105 of PD 1145.**

   We recommended that Management install and maintain a system of internal control for the procurement, recording and monitoring of Supplies and Property, Plant and Equipment to ensure maximum and efficient utilization of government resources and to prevent or forestall manipulation and commission of irregularities, as follows:

   - The procured items be received, accepted and recorded in the Stock or Property Cards by the Supplies/Property Officer. Stock Cards and Property Cards be maintained for each type of Supplies or PPE, respectively.;

   - The Supply/Property Officer issues supplies/PPE to the requesting office or end-users. The issuances should be supported with Requisition and Issue Slips. The issuance of small items not to be considered as PPE be covered with Inventory Custodian Slips (ICS) and issued PPE be supported with Acknowledgment Receipt for Equipment (ARE).;

   - The Accounting Office should also maintain Supplies Ledger Cards and PPE Ledger Cards for supplies and PPE, respectively.; and

   - The Supply/Property Office and Accounting Office reconcile their respective records regularly.

   - If warranted, the municipality should put up a stockroom for safekeeping of the procured supplies and materials until issuance to the proper users, as may be needed thereby ensure economy and efficiency in the use of supplies and PPE of the Municipality.

5. Collection of revenues and receipts in the custody of the Municipal Treasurer were not deposited intact with the authorized depository bank resulting in Cash in Treasury balance of P155,774.48 as of November 9, 2018 which remained undeposited for five (5) days, contrary to Section 33 Chapter 2 of the COA Memorandum No. 2013-004 dated July 9, 2013 and Section 69 (1) Chapter 3, Title II of P.D. 1445.

We recommended that the Municipal Treasurer deposit intact and regularly her collections of revenues and receipts pursuant to existing regulations to avoid possible loss, misuse or misappropriation of the government funds and establish proper safeguards thereon.

5. Summary of Total Suspensions, Disallowances and Charges as of Year-End

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	116,827.68	-	-	116,827.68	-
Current Year	-	-	-	-	-
Total	**116,827.68**	**-**	**-**	**116,827.68**	**-**
Disallowances					
Prior Years	536,460.27	-	-	536,460.27	-
Current Year	-	-	-	-	-
Total	**536,460.27**	**-**	**-**	**536,460.27**	**-**
Charges					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	**-**	**-**	**-**	**-**	**-**

6. Status of Implementation of Prior Year's Audit Recommendations

Out of the fifteen (15) audit recommendations embodied in the previous Annual Audit Report, three (3) were fully implemented, eight (8) were partially implemented and the remaining four (4) were not implemented.